



INDIA IS HOME to one of the world's largest agricultural workforces. The result: Nearly half the country's population depends on agriculture, cultivating fragmented holdings that average just three acres. This has been a challenge for the new generation of entrepreneurs looking to empower farmers.

44 | The first wave of agritech start-ups, from 2013 to 2019, were hit by the funding winter that saw venture capital dry up across sectors. Now, the tide is turning. Encouraged by fresh capital—such as Arya.ag's \$80-million fundraise and AgroStar's \$30-million round—and profitability milestone for DeHaat, the sector is betting on a different model. This time, the focus is on a deep-tech plus infrastructure-led play, rather than the sector as a whole. But the fundamental question remains: Can technology truly transform a sector defined by structural realities?

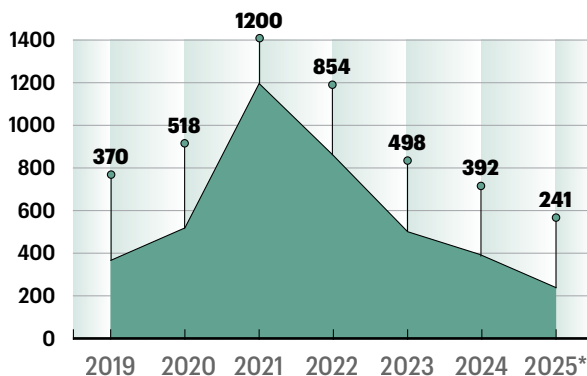
As Mark Kahn, Managing Partner at Omnivore, a venture capital firm based in Mumbai, puts it, "the death of agri-tech was greatly exaggerated." The question is not whether agritech can attract capital but whether it has finally built models that can scale across a landscape of 146 million smallholders, where success means at least 50% adoption rate.

THE GREAT CORRECTION

The agri-tech sector has a complex value chain with two distinct endpoints: the farmer, who produces the goods, and the consumer, who ultimately purchases them. Agritech start-ups have historically targeted different parts of this chain—either upstream (the farmer) or downstream (the buyer). However, the fundamental challenge lies in the fact that the customers at each end have different needs and economic realities.

EBB AND FLOW

- 2021 was a bumper year for VC funding, at \$1,200 million
- From then, funding has slowed, but remains steady



NOTE FIGURES IN \$ MN; *DATA TILL DEC 2025 **SOURCE** TRACXN

INVESTOR CONFIDENCE

- Agritech funding may not be back to 2021 levels but investors are backing segments with clearer monetisation roadmap, stronger unit economics, and scalable technology



Farm to
consumer



Supply chain and
value chains



Agri
fintech



Robotics and
deeptech



Climate and
precision
agriculture



Agri-biotech,
contract
development